Paraguay's President Removed From Office After Bank Collapse

From: BBC News Mined: 2026-11-07 5 min read

Paraguay's president has been removed from office after a bank collapse left millions of people unable to reach their money. President Santiago Peña was **impeached** on Friday, just days after Ueno Bank, a digital bank, collapsed earlier in the week.

The bank's collapse left more than half of the country's population without access to their accounts. An estimated three million **depositors** still cannot reach their savings and pensions. The bank was seized by Paraguay's central bank, and people in the capital, Asunción, have taken to the streets in protest.

Lawmakers voted to remove Peña, including members of his own party. The Senate voted 44 to 0 in favor, with one lawmaker absent. The charges against him alleged **conflicts of interest**, interference with regulators, diverted pension funds, and a **cover-up** involving the central bank. Peña held shares until last year in the company that owned the bank, but he has denied any wrongdoing.

In a video posted online, Peña announced his resignation and said it was never his intention to betray the trust people had placed in him. Senate president Basilio Núñez said Peña was found guilty of failing in his duties. One senator called it the biggest corruption scandal in the country's democratic history. Peña is due to be questioned on Saturday over allegations of breach of trust, **influence peddling**, and misuse of funds. His lawyer called the allegations reckless and irresponsible.

Peña was arrested on Friday, minutes after the vote, and placed under house arrest. His deputy, Pedro Alliana, has been sworn in as **interim** president and will serve until 2028. Alliana promised that people affected by the financial collapse 'will be fully compensated.' Analysts say Peña is likely to face prosecution over the bank's collapse.

Word Treasure

impeached -- Removed from office by a vote of lawmakers after being found to have failed in the job.

depositors -- People who have put their money into a bank.

conflicts of interest -- Situations where a person's private interests could unfairly affect their public decisions.

interim -- Temporary, filling a job until a permanent person takes over.

influence peddling -- Using power or connections unfairly to get favors or money.

cover-up -- An attempt to hide wrongdoing so other people do not find out about it.

Background you need

A bank holds people's savings and pensions, and a digital bank is one that people use online rather than by visiting a branch.

In Paraguay, Ueno Bank collapsed, leaving many people unable to reach their money, and the country's central bank, which oversees banks, seized it.

Lawmakers can remove a president from office through impeachment when they find that the president has failed in their duties, and that is what happened to President Santiago Peña after lawmakers linked him to the bank's troubles, though he has denied any wrongdoing.

Break it down

LEAD: Paraguay's president was removed from office after Ueno Bank collapsed and left millions of people unable to reach their money.

KEY EVENT: Lawmakers voted to remove President Santiago Peña, including members of his own party.

+- WHO: President Santiago Peña, Ueno Bank depositors, and Paraguay's lawmakers
+- WHAT: Impeachment after the collapse of Ueno Bank, a digital bank
+- WHERE: Paraguay, with protests in the capital, Asunción
+- WHEN: The bank collapsed earlier in the week, and Peña was impeached on Friday

EVIDENCE: The Senate voted 44 to 0 in favor, with one lawmaker absent; the bank was seized by Paraguay's central bank; and an estimated three million depositors still cannot reach their savings and pensions.

OPEN QUESTION: Whether Peña will face prosecution over the bank's collapse, and whether people affected will be fully compensated, as Pedro Alliana promised.

Why it matters

When a bank fails, ordinary families can lose access to savings and pensions they depend on, so this case raises wider questions about who protects people's money and holds leaders accountable.

Test what you remember

1. Which bank collapsed in Paraguay?

- (A) The Senate bank
- (B) A bank in Memphis
- (C) Ueno Bank
- (D) Paraguay's central bank

2. About how many depositors still cannot reach their savings and pensions?

- (A) An estimated three million
- (B) About 44
- (C) About 500
- (D) Just over 90

3. How did the Senate vote on removing President Santiago Peña?

- (A) 0 to 44 against removal
- (B) 44 to 0 in favor, with one lawmaker absent
- (C) 25,000 to 0 in favor
- (D) 3 to 0 in favor

4. What did the charges against Peña allege?

- (A) That he moved the capital from Asunción
- (B) That he refused to resign on video
- (C) Conflicts of interest, interference with regulators, diverted pension funds, and a cover-up involving the central bank
- (D) That he closed the bank himself

5. What happened to Peña on Friday, minutes after the vote?

- (A) He left Paraguay for Zambia
- (B) He was questioned by the central bank
- (C) He was arrested and placed under house arrest
- (D) He was sworn in as interim president

6. Who was sworn in as interim president, and how long will he serve?

- (A) Pedro Alliana, until 2028
- (B) Pedro Alliana, until Friday
- (C) Santiago Peña, until 2028
- (D) Basilio Núñez, until Saturday

Answer key (try the quiz first!): 1: C 2: A 3: B 4: C 5: C 6: A

Questions to think about

1. Santiago Peña: He has denied any wrongdoing and said it was never his intention to betray the trust people had placed in him.
2. Peña's lawyer: He called the allegations reckless and irresponsible.
3. Pedro Alliana, the interim president: He promised that people affected by the financial collapse will be fully compensated.
4. Analysts: They say Peña is likely to face prosecution over the bank's collapse.

MY THOUGHTS (at least 20 words):